

Before the
FEDERAL MARITIME COMMISSION

Washington, D.C. 20573

Docket No. 25-01

20230930-DK-BUTTERFLY-1, INC. v. BAL CONTAINER LINE CO., LIMITED

**COMPLAINANT 20230930-DK-BUTTERFLY-1, INC.'S
THIRD MOTION TO COMPEL DISCOVERY FROM
RESPONDENT BAL CONTAINER LINE CO., LIMITED**

Pursuant to 46 C.F.R. §§ 502.143(b)(6) and 502.150, Complainant 20230930-DK-Butterfly-1, Inc., formerly known as Bed Bath & Beyond Inc. (“Complainant” or “BBBY”),¹ by and through its undersigned attorneys, hereby moves for an order compelling Respondent BAL Container Line Co., Limited (“Respondent” or “BAL”) to produce for deposition one or more corporate witnesses to testify about Complainant’s noticed corporate deposition topics 3, 4-6, and 8. Morris Decl. Ex. A. Complainant sought to work in good faith with Respondent to mutually agree upon the topics for the depositions of Respondent’s corporate designees, but Respondent ultimately agreed to only designate representatives to testify for a *subpart* of a *single proposed topic* of examination out of eight, leading to the impasse necessitating this motion.

I. BACKGROUND

Depositions of Complainant’s former staff and Complainant’s corporate designee were conducted virtually by videoconference between November 18 and November 25, 2025. Depositions of Respondent’s staff and a portion of depositions of Respondent’s corporate designees were conducted virtually between December 8 and 12, 2025. Below is a timeline detailing the noticing of corporate deposition topics by Complainant and related scheduling and negotiations between the parties.

Date (Eastern Standard Time/EST)	Event
Wednesday, November 26, 2025	Following discussion between the parties, and pursuant to Rule 143(b)(6) of the Federal Maritime Commission’s (the “Commission”) Rules of Practice and Procedures, 46 C.F.R. § 502.143(b)(6), Complainant served its corporate deposition notice on Respondent, with eight proposed topics for examination. Complainant noticed the corporate deposition for December 12, 2025, seventeen days later. ² Morris Decl. Ex. A.

¹ Complainant filed a change of name certificate with the New York State Division of Corporations, State Records, and Uniform Commercial Code on September 21, 2023, by and through which Complainant changed its corporate name from Bed Bath & Beyond, Inc. to 20230930-DK-Butterfly-1, Inc.

² Respondent served its corporate deposition notice on Complainant fifteen days in advance of the scheduled

Wednesday, December 3, 2025	Respondent sent Complainant its objections to Complainant's proposed corporate deposition topics. Respondent objected to every topic, and only designated a representative to testify to a proposed revision of a subpart of Topic 3, for which it designated its employee Terry Ye to testify. Respondent requested that Complainant move up the previously agreed-upon date of the corporate deposition to conduct it immediately after Mr. Ye's individual deposition rather than on December 12 as originally planned, after individual depositions had concluded. Morris Decl. Ex. B.
Thursday, December 4, 2025	- Respondent amended its response to Complainant's proposed corporate deposition Topic 3 to designate three witnesses—Cathy Sun, Terry Ye, and Parker Zhu—to each testify to a proposed modified subpart of Topic 3. Morris Decl. Ex. C. - In response to Respondent's objections, Complainant requested to meet and confer with Respondent regarding the proposed topics for examination. Complainant also agreed to Respondent's proposal to conduct corporate depositions earlier, immediately after the individual depositions, rather than separately on December 12. Morris Decl. Ex. D. - In response to Complainant's meet and confer request, Respondent stated that they were not available to meet and confer until December 9 (EST), <i>after</i> corporate depositions were now scheduled to begin pursuant to Respondent's scheduling request. Morris Decl. Ex. E.
Friday, December 5, 2025	Complainant responded to Respondent flagging that waiting to meet and confer until December 9 would require the parties to begin corporate depositions without having met and conferred on the topics for examination. Morris Decl. Ex. F.
Saturday, December 6, 2025	Respondent (based in Hong Kong at the time) responded to offer new availability in a 5-hour window Sunday evening EST, Monday morning HKT. Morris Decl. Ex. G.
Sunday, December 7, 2025	- Complainant agreed via email to meet and confer with Respondent at 9 p.m. EST December 8/ 10 a.m. HKT December 9 in the window of availability provided by Respondent. Morris Decl. Ex. H. - Respondent did not show up to the meet and confer and did not respond to multiple phone calls and a follow-up email from Complainant. Morris Decl. Ex. I.
Monday, December 8	- With no response from Respondent, Complainant followed up to ask again when Respondent could meet and confer. Morris Decl. Ex. J. - Respondent subsequently responded and asked for Complainant's availability in the coming 24 hours. Morris Decl. Ex. K. - Complainant offered a window of availability on Tuesday, December 9. Respondent indicated that that window would be too late in the evening in Hong Kong and requested that the parties proceed to confer via email. Morris Decl. Ex. L.

corporate deposition date.

	• The parties proceeded with Cathy Sun’s corporate deposition at 7 p.m. EST Monday, December 8 / 8 a.m. HKT Tuesday, December 9.
Tuesday, December 9	• As requested, Complainant responded via email to Respondent’s objections to the proposed modified corporate deposition topics, agreeing to drop two of the proposed topics in the interest of reaching a resolution. Based on multiple objections related to scope in Ms. Sun’s deposition, and because respondent had narrowed Topic No. 3 more than Complainant found to be acceptable for the portion of Topic 3 that Respondent had designated to Mr. Ye, Complainant informed Respondent that it could not proceed with a second corporate deposition until the parties had an opportunity meet and confer regarding the topics at issue and Respondent had designated representatives to testify about them. Morris Decl. Ex. M. • The parties exchanged several emails, with Respondent ultimately insisting that the parties: (1) meet and confer immediately following Terry Ye’s individual deposition (which concluded after midnight EST) and (2) proceed with Mr. Ye’s corporate deposition <i>immediately</i> afterward. Complainant informed Respondent that it could not proceed with a meet and confer in the middle of the night minutes before a deposition whose scope was the very subject of the meet and confer. Morris Decl. Ex. N. • The parties proceeded with Mr. Ye’s individual deposition and did not proceed with his corporate deposition. • The parties subsequently agreed to meet and confer regarding the corporate deposition topics the following morning. Morris Decl. Ex. O.
Wednesday, December 10	• The parties met and conferred regarding the proposed corporate deposition topics via telephone. • Following the meet and confer, the parties proceeded with further exchanges via email. Respondent informed Complainant following the meet and confer that it would not provide Mr. Ye for a rescheduled corporate deposition and would not provide a replacement designee on the modified subpart of Topic 3 for which it had originally designated him. Respondent continued to refuse to designate representatives to testify to any topics beyond Topic 3. Morris Decl. Ex. P.
Thursday, December 11	• The parties proceeded with the individual and corporate depositions of Parker Zhu, with Mr. Zhu designated to testify on a modified subpart of Topic 3 as proposed by Respondent. Based on the schedule—the same as Respondent requested for Mr. Ye, with the corporate deposition proceeding immediately after the individual deposition—the parties had to pause Mr. Zhu’s corporate deposition at 2:47 a.m. EST due to strain on the interpreter and court reporter, and agreed to continue the deposition via written questions.
Thursday, December 18	Complainant reached out to confirm that Respondent had not changed its position regarding Topics 3, 4, 5, 6, and 8. Respondent did not respond prior to Complainant’s filing of this motion the following day. Morris Decl. Ex. Q.

II. LEGAL STANDARD

When a corporation receives a notice that names a corporate deponent and describes “with reasonable particularity the matters for examination”, the corporation “must then designate one or more officers, directors, or managing representatives, or designate other persons” to testify on its behalf. 46 C.F.R. § 502.143(b)(6). Such corporate designees “must testify about information known or reasonably available to the organization.” *Id.* If “a corporation . . . fails to make a designation of an individual who will testify on its behalf” or a “a deponent fails to answer a question asked at a deposition”, the Presiding Officer may order a response. 46 C.F.R. § 502.150(a)(1). Furthermore, parties must make “every reasonable effort to resolve discovery disputes”. 46 C.F.R. § 502.141(i)(2).

A party receiving a corporate deposition notice has an affirmative obligation to prepare its representatives to testify regarding information reasonably available to the party. *See Visual Comfort & Co. v. COSCO Shipping Lines Co., Ltd.*, FMC Dkt. No. 24-01, Dkt. 87 at 5 (ALJ Jan. 24, 2025) (Order Granting Complainant’s Second Motion to Compel in Part). As part of that duty, the party receiving a corporate deposition notice must designate additional witnesses capable of providing sufficient testimony if the party’s original designated witnesses lack sufficient knowledge or fail to adequately respond to the requirements of the deposition. *McKesson Corp. v. Islamic Republic of Iran*, 185 F.R.D. 70, 79 (D.D.C. 1999).

III. ARGUMENT

Complainant’s motion to compel limited deposition testimony should be granted. In response to Complainant’s proposed topics for examination that were written with specificity and that have plain facial relevance to this litigation, Respondent has failed to “testify about information known or reasonably available to the organization” and has failed to meaningfully

make witnesses available who could testify on the corporation's behalf. Despite Complainant's willingness to amend and narrow the topics at issue, Respondent also failed to make good-faith, timely, and reasonable efforts to resolve the parties' disputes over the proposed corporate deposition topics. To avoid prejudice to Complainant and to enforce the Commission's Rules and Regulations, the Court should issue an order compelling Respondent's corporate deposition testimony on Complainant's proposed topics for examination 3, 4, 5, 6, and 8 as detailed below.³

A. Topic 3: Respondent's Refusal to Produce Its Designee to Testify for Topic 3 Deprives Complainant of Relevant Discovery

Complainant originally noticed Topic 3 as:

“Your regulations, practices, policies, procedures, protocols, or strategies, or conditions established or enforced by You or on Your behalf, with respect to detention or demurrage charges.”

Morris Decl. Ex. A. In objecting to this Topic and over the course of discussions between the parties, BAL refused to designate a representative on BAL's “regulations”, “strategies”, or “conditions” with respect to detention and demurrage charges. During these discussions, Complainant offered to reach a compromise with proposed modifications to the topic.

Respondent ultimately designated its employees (1) Cathy Sun to testify on BAL's detention practices on the West Coast in 2021 and 2022, (2) Parker Zhu to testify on BAL's demurrage practices on the West Coast in 2021 and 2022, and (3) Terry Ye to testify on BAL's detention and demurrage policies on the West Coast in 2021 and 2022. Morris Decl. Ex. C. Respondent refused to designate witnesses to testify on any of Respondent's detention and demurrage regulations, strategies, or conditions, even after Complainant's explanation of the plain meaning of these words and their distinction from practices and policies. Respondent also claimed

³ In the interest of reaching a resolution, BBY agreed with BAL to proceed without Topics 1, 2, and 7 as noticed.

that (1) “practices” overlapped with “procedures” and (2) “policies” overlapped with “protocols”, and in doing so refused to include the latter terms in the scope of its designation.

As detailed above in § I, after Respondent failed to attend the first scheduled meet and confer the evening of Sunday, December 7 (EST) (without explanation), Complainant proceeded in good faith with the corporate deposition of Cathy Sun on Monday, December 8 EST, while (1) still in the process of attempting to meet and confer with Respondent, but (2) understanding that the witnesses had traveled to Hong Kong for their depositions and mindful of possible inconvenience of the representatives. Following that deposition, Complainant informed Respondent that it would not proceed with the corporate deposition of Terry Ye until the parties had met and conferred on the topics for examination as required. In response, Respondent attempted to push Complainant into a last-minute meet and confer after the conclusion of Mr. Ye’s individual deposition after midnight EST, and minutes before the start of Mr. Ye’s corporate deposition. Complainant informed Respondent that this would be prejudicial to Complainant and accordingly did not proceed with the corporate deposition but instead requested that the deposition be scheduled for the original date for corporate designee testimony, December 12, to give the parties time to meet and confer.

Beyond the fact that Complainant would have been prejudiced by being forced to hold a belated meet and confer on the scope of a corporate deposition minutes before the deposition itself, doing so would have also been a dereliction of Respondent’s obligation to adequately prepare its designees to testify about information reasonably available to it. Finalizing the corporate deposition topics minutes before a corporate deposition would leave no time for Respondent to adequately prepare the witness to provide testimony on its behalf. Respondent’s insistence on proceeding with the last-minute meet and confer demonstrates that the meet and confer would have

provided no genuine opportunity to elicit actual testimony on the belatedly decided topics and no opportunity to meaningfully resolve the discovery dispute at issue. As the record indicates, Respondent seemingly had no intention of designating witnesses to testify on any topic beyond Topic 3, regardless of Complainant's willingness to compromise on the language and scope of the topics.

Respondent subsequently refused to reproduce Mr. Ye or an alternative designee to testify on Respondent's detention and demurrage policies. Given that Mr. Ye's corporate deposition was postponed for the parties to meet and confer on the corporate deposition topics with adequate time for both parties to prepare, Complainant respectfully requests that Respondent be compelled to designate a representative to testify on BAL's policies with respect to detention or demurrage charges.

Highlighting Complainant's willingness to compromise and work with Respondent, Complainant also proceeded with the corporate deposition of Mr. Zhu following the parties' Wednesday, December 10 meet and confer regarding the meaning of the terms practices, policies, procedures, and protocols.

B. Topics 4-6: Respondent's Refusal to Designate a Representative to Testify on Topics 4-6 Deprives Complainant of Relevant Discovery

In addition to the ongoing disagreement regarding the scope of Topic 3 and Respondent's refusal to permit a deposition of Mr. Ye as a designee for a portion of Topic 3, the parties are also at an impasse related to Topics 4, 5, and 6.

Complainant originally noticed Topic 4 as:

“Your carriage—including via Intermediaries—of BBBY Cargo and Your related regulations, practices, policies, procedures, protocols, or strategies.”

Morris Decl. Ex. A. Complainant originally noticed Topic 5 as:

“Issues affecting the flow of BBBY Cargo and Your related regulations, practices, policies, procedures, protocols, or strategies.”

Morris Decl. Ex. A. Complainant originally noticed Topic 6 as:

“Your regulations, practices, policies, procedures, protocols, or strategies for working with Intermediaries.”

Morris Decl. Ex. A.

In objecting to these Topics and over the course of discussions between the parties, Respondent refused to designate a representative to testify on any of these Topics. Again, during these discussions, Complainant offered to reach a compromise with proposed modifications to these Topics. Among its objections, Respondent stated that it had no knowledge of which cargo belonged to Complainant and accordingly could not designate someone to testify. Respondent ultimately offered to sign a declaration stating that “Before this lawsuit was filed, BAL was not aware of which containers it transported contained BBB cargo.” Morris Decl. Ex. P. However, Complainant has provided interrogatory responses with appendices identifying container information with data from Complainant’s third-party payment processing service, which includes, among other shipping information, data related to detention and demurrage payments filtered to identify charges by container and invoice numbers. During the deposition of Respondent’s employee Mr. Zhu, Mr. Zhu identified a data set produced by Respondent containing analysis of the underlying container-level data produced by Complainant. Accordingly, given that Respondent’s employees directly processed and analyzed this data identifying specific containers that Respondent imposed charges on Complainant for, its assertion that it does not know which containers are at issue in this case is inaccurate. Respondent plainly has reasonably available information identifying every single container at issue in this case, both from Complainant’s production and as analyzed within its own records. Respondent cannot evade its obligation to

designate a witness to testify to these issues simply because it would rather substitute a declaration to avoid live testimony. Accordingly, Complainant is entitled to testimony about these straightforward topics that are central to this case: the carriage of Complainant's cargo, issues affecting the flow of Complainant's cargo and thereby affecting detention and demurrage charges, and Respondent's work with intermediaries to carry cargo (as defined in the corporate deposition notice).

For Topic 6, Complainant included the definition of "Intermediaries" in the corporate deposition notice as:

"any booking agent or Ocean Transportation Intermediary, including any NVOCC or any OFF, that acted as agent or otherwise on behalf of BBY or You, or otherwise served as an intermediary between BBY and You, concerning any BBY Cargo."

Morris Decl. Ex. A. Given the role of such intermediaries in the charging of detention and demurrage for the cargo at issue carried by Respondent in this case, such testimony is plainly relevant for corporate deposition testimony and constitutes information that is reasonably accessible to Respondent.

Accordingly, BBY respectfully requests that BAL be compelled to designate a representative to testify on Topics 4, 5, and 6.

C. Topic 8: Respondent's Refusal to Designate a Representative to Testify on Topic 8 Deprives Complainant of Relevant Discovery

Complainant originally noticed Topic 8 as:

"The claims at issue in this case relating to detention and demurrage charges imposed on BBY, and your defenses."

Morris Decl. Ex. A. In objecting to this Topic and over the course of discussions between the parties, Respondent refused to designate a representative, even after Complainant offered to modify the topic to "The factual basis for each of BAL's 15 affirmative defenses as set forth in its

Verified Answer.” Morris Decl. Ex. P. In place of designating a representative, Respondent only offered cursory thoughts from its counsel via email and argued that it would not designate a witness to testify because, inexplicably, “***BBB is in a much better position to understand BAL’s affirmative defenses than BAL is***”. Morris Decl. Ex. P. (emphasis added) This is a plain deviation from Respondent’s fundamental obligations under the Rules, and to prevent Complainant from deposing Respondent about the claims of the case and Respondent’s affirmative defenses would unduly prejudice Complainant and undermine the entire purpose of a corporate deposition. While courts have precluded questioning seeking attorney impressions or otherwise protected information, courts regularly permit the use of corporate depositions to obtain testimony regarding the *factual* bases for a party’s affirmative defenses, excluding, as Complainant seeks to exclude here, inquiries regarding legal analysis or privileged information. *See Erickson v. City of Lakewood*, No. 119CV02613PABNYW, No. 1:19-cv-02613-PAB-NYW, 2021 WL 4947231, at *4–5 (D. Colo. Sept. 23, 2021) (“courts have regularly permitted such deposition topics so long as they are expressly limited to seeking facts, rather than attorney impressions or legal theories . . . ‘[T]he use of Rule 30(b)(6) depositions for the purpose of obtaining the factual bases for a defendant’s asserted position statements or affirmative defenses is not novel.’”).

Accordingly, Complainant respectfully requests that Respondent be compelled to designate a representative to testify on Topic 8.

IV. CONCLUSION

For the reasons stated above, Complainant respectfully requests that the Presiding Officer enter an order compelling Respondent to give deposition testimony by its corporate designees concerning Complainant’s Topics 3, 4, 5, 6, and 8 as noticed.

Dated: December 19, 2025

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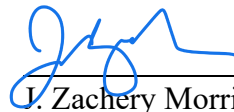
Certificate of Service

I hereby certify that I have this day served the foregoing document upon Respondent BAL Container Line Co., Limited by emailing a copy to their counsel of record listed below:

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